KEPCO (015760 KS)

Lowered expectations, commenced structural shift

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We initiate coverage on Korea Electric Power Corp (KEPCO) at BUY and a target price of W47,000. Near-term earnings are likely to remain under pressure. While SMP rose rapidly entering 3Q26, electricity tariffs remain frozen. As such, we estimate 3Q26 OP at W1.88tn (-66.8% YoY) and 2026 OP at W6.65tn (-50.7% YoY). OP in 2027 will also likely remain at a low level of around W6.94tn

Nevertheless, we remain positive at this point, as long-term growth visibility has actually increased although short-term profit expectations have been lowered. The 12th Basic Plan for Long-Term Electricity Supply and Demand substantially revised up projections for long-term power demand, reflecting demand for AI data centers and semiconductors. This makes an expanded role for transmission/substation grids and nuclear power more likely.

There are two main investment points. First, nuclear power. Stable operations of existing nuclear power plants buffer higher procurement costs by reducing dependence on LNG and external power purchases. Potential domestic nuclear power additions and new overseas projects are upside catalysts that we have not yet reflected in current earnings estimates or our target price. Second, the grid. Rising AI and semiconductor demand is expected to drive sustained investment in transmission and substation infrastructure, increasing the growth potential of KEPCO's asset base.

However, our current target price does not aggressively price-in long-term growth expectations. We did not separately reflect the value of additional nuclear power plants under the 12th Basic Plan or new overseas nuclear power orders, and grid investments were evaluated under the premise that future capex recovery must first be confirmed. With our near-term earnings estimates already conservative, we believe there is room for further upside to earnings and enterprise value if costs stabilize, nuclear utilization rates improve, domestic and overseas projects materialize, and funding sources diversify.

The key is whether expanded investment assets can ultimately translate into actual cash and profit. While the debt burden will likely persist for some time on massive grid investments, efforts are underway to diversify funding sources, including government equity injections, fiscal subsidies for policy-related costs, and advance electricity tariff payments. Given increased visibility over the recovery of investments, the company's long-term asset growth should increasingly translate into shareholder value.

BUY (I)

Target price	W47,000 (I)
Previous target price	-
Current price (Sep 09)	W33,750
Upside potential	39%

Market cap (Wbn)	21,666
Shares outstanding	641,964,077
Avg daily T/O (2M, Wbn)	69
Avg daily volume (2M, shrs)	1,954,827
52-week high/low (won)	67,900 / 30,850
Foreign ownership (%)	21.02%
Dividend yield (%)	3.27%
Major shareholders	Korea Development Bank & other

Stock performance

(%)	1M	3M	12M
Absolute	(5.2)	(6.5)	(11.4)
Relative	(15.9)	7.3	(59.0)
Abs (US$)	0.5	5.8	(8.0)

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	27,767	0.7	26.7	27,781	0.0
OP	1,875	-66.8	66.2	2,565	-26.9
Pre-tax net profit	2,513	-53.0	489.8	2,281	10.2
Net profit, CI	2,238	-40.4	737.1	1,705	31.2
OPM (%)	6.8	-13.7 %pt	+1.7 %pt	9.2	-2.4 %pt
NPM (%)	8.1	-5.5 %pt	+6.9 %pt	6.1	+2.0 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	93,399	97,429	97,700	98,963
OP	8,365	13,491	6,650	6,942
Net profit, CI	3,492	8,545	3,647	3,880
P/E (x)	3.9	2.5	5.9	5.6
P/B (x)	0.3	0.4	0.4	0.4
EV/EBITDA (x)	6.5	5.5	7.3	7.3
ROE (%)	9.2	19.4	7.4	7.4

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

1. Lower earnings expectations through 2027

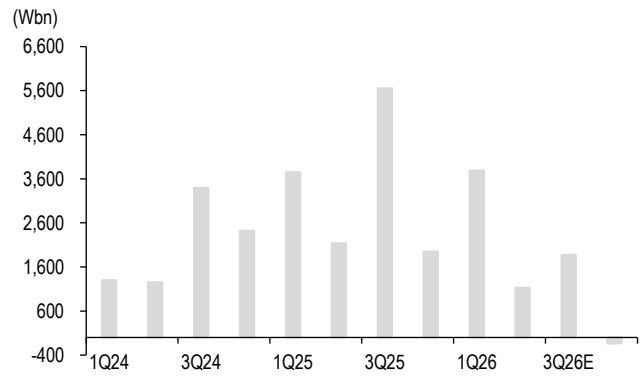
1) 3Q26 preview: profit to fall on rising procurement costs

We estimate 3Q26 consolidated sales at W27.77tn (+0.7% YoY) and OP at W1.88tn (-66.8% YoY, OPM 6.8%). Electricity sales volume will likely expand by just 0.5% YoY and selling prices are likely to remain flat YoY, resulting in little change to top line. Meanwhile, fuel costs will likely rise to W6.42tn (+16.7% YoY) and purchased power costs to W11.58tn (+25.2% YoY), driving the drop in profitability.

In particular, the burden of purchased power costs is mounting. The monthly average mainland SMP rose to W148.4/kWh in August, and the daily average on Sep 2 even came to W167.91/kWh. Meanwhile, electricity tariffs in 3Q26 remain unchanged, leaving little scope for higher procurement costs to be offset by selling prices.

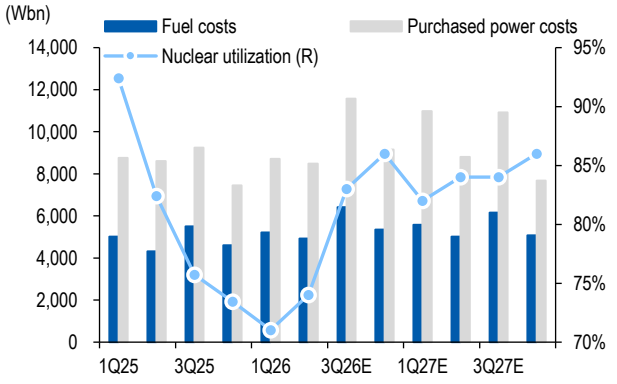
Higher nuclear power plant utilization should partially offset cost pressures. However, as the increases in purchased power costs and fuel input unit prices are much higher, we expect 3Q26 OP to drop sharply YoY. Ultimately, the key variable for 3Q26 earnings lies in rising procurement unit costs, rather than power generation volume growth.

KEPCO: quarterly OP and forecast



Source: Yuanta Securities

Fuel costs, purchased power costs, and nuclear utilization



Source: Yuanta Securities

2) 2026: sales volume flat, procurement costs rising

We estimate 2026 consolidated sales at W97.7tn (+0.3% YoY) and OP at W6.65tn (-50.7% YoY, OPM 6.8%). Annual electricity sales volume and average selling prices will likely remain flat YoY, inching down by 0.2% YoY and 0.1%, respectively. Electricity sales revenue is also expected to remain flat YoY, limiting sales growth.

The profit decline is down to costs. We estimate fuel costs at W21.92tn (+12.8% YoY) and purchased power costs at W37.95tn (+11.4% YoY). The benefits of declining procurement costs, which supported the improvement in earnings over 2024-2025, will likely weaken, while higher SMP and fuel costs will likely be reflected in costs going into 2H26.

Annual nuclear utilization is also projected to fall from 81.0% in 2025 to 78.5%. Although utilization should recover after 3Q26, weakness in 1H26 is expected to weigh on full-year earnings. As such, cost pressure will likely persist in 2H26, with 4Q26 OP likely to fall to near BEP.

This year will be one where rising procurement costs, rather than declining sales, drive earnings contractions. Sales will likely remain flat YoY, but double-digit increases in both fuel costs and purchased power costs will likely halve OP.

3) 2027: high purchased power cost pressure lingers despite nuclear utilization recovery

We forecast 2027 consolidated sales at W98.96tn (+1.3% YoY) and OP at W6.94tn (+4.4% YoY, OPM 7%). With power sales volume forecast to rise by just 0.8% YoY and average selling prices by 0.5%, sales growth will likely be modest.

We assume that the power generation mix will improve over 2026. Nuclear utilization will likely recover to 84.0%, allowing increased low-cost nuclear power output to partially alleviate fuel cost burdens.

Our current estimates conservatively reflect continued high procurement costs. If international energy prices and SMP stabilize faster than expected going forward or nuclear utilization exceeds our assumptions, or electricity tariff hikes expand, earnings estimates may be revised up. On the other hand, if high procurement costs are prolonged, the recovery in profitability may be delayed.

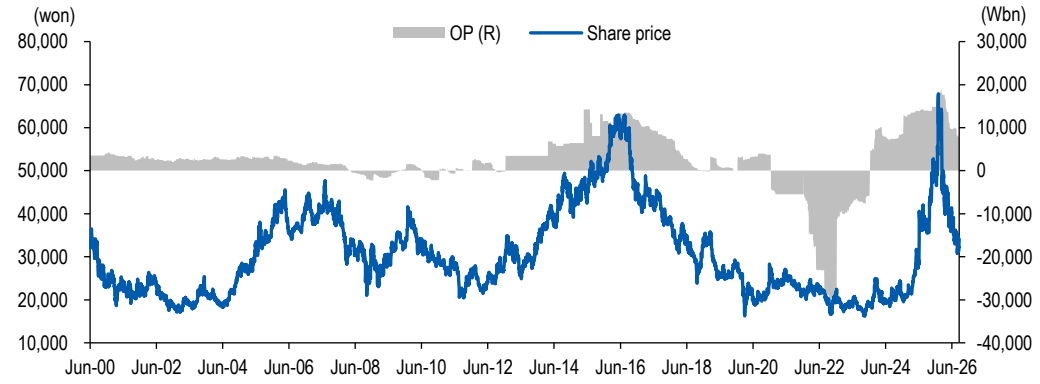
Even while applying conservative profit estimates through 2027, our view on KEPCO remains positive. We believe the expanded role of nuclear energy, long-term asset growth from grid investments, and improving conditions for recovering investments cost could provide additional upside to KEPCO's mid- to long-term enterprise value.

KEPCO: earnings forecast and key assumptions (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Key assumptions											
USD/KRW	1,462.5	1,386.8	1,395.9	1,447.3	1,466.9	1,503.0	1,435.6	1,420.0	1,420.3	1,456.4	1,408.0
Applied SMP (won/kWh)	115.6	122.6	117.0	95.3	107.1	118.1	153.0	143.0	112.6	130.3	133.3
Newcastle (USD/t)	106.9	102.7	111.0	107.6	122.4	137.0	131.3	130.0	107.0	130.2	126.0
LNG gen. cost (won/kWh)	179.9	175.3	151.3	151.5	152.1	174.8	193.6	203.4	164.5	181.0	191.5
Power sales volume (GWh)	141,018.2	127,341.4	151,506.4	129,551.2	139,742.0	126,928.5	152,264.0	129,421.6	549,417.3	548,356.2	552,597.9
Power tariff (won/kWh)	169.5	165.4	175.6	170.2	170.4	164.6	175.3	169.8	170.4	170.3	171.1
Nuclear utilization (%)	92.4%	82.4%	75.7%	73.5%	71.0%	74.0%	83.0%	86.0%	81.0%	78.5%	84.0%
Earnings forecast											
Sales	**24,224.0**	**21,950.1**	**27,572.4**	**23,682.8**	**24,398.5**	**21,918.9**	**27,766.7**	**23,615.6**	**97,429.4**	**97,699.7**	**98,963.3**
Power sales revenue	23,211.2	20,946.3	26,474.1	22,373.0	23,223.3	20,740.8	26,566.7	22,305.6	93,004.6	92,836.4	94,002.8
Other sales	1,012.8	1,003.8	1,098.3	1,309.8	1,175.2	1,178.1	1,200.0	1,310.0	4,424.7	4,863.3	4,960.5
Operating expense	**20,470.4**	**19,814.2**	**21,920.5**	**21,704.6**	**20,614.3**	**20,790.3**	**25,891.4**	**23,753.5**	**83,909.7**	**91,049.6**	**92,021.7**
Fuel costs	5,010.0	4,315.2	5,500.8	4,610.4	5,217.7	4,925.2	6,420.7	5,351.4	19,436.4	21,915.0	21,810.3
Power purchase costs	8,756.8	8,601.0	9,248.5	7,446.4	8,720.3	8,486.6	11,580.4	9,158.5	34,052.7	37,945.8	38,385.7
Others	6,703.6	6,898.0	7,171.2	9,647.8	6,676.3	7,378.5	7,890.3	9,243.6	30,420.6	31,188.7	31,825.8
OP	**3,753.6**	**2,135.9**	**5,651.9**	**1,949.2**	**3,784.2**	**1,128.6**	**1,875.3**	**-137.9**	**13,490.6**	**6,650.1**	**6,941.6**
OPM (%)	15.5%	9.7%	20.5%	8.2%	15.5%	5.1%	6.8%	-0.6%	13.8%	6.8%	7.0%

Source: Yuanta Securities

KEPCO: share price vs OP



Source: FnGuide Quantiwise, Yuanta Securities

2. Nuclear: key buffer against higher costs

1) Existing nuclear fleet defends earnings when energy prices rise

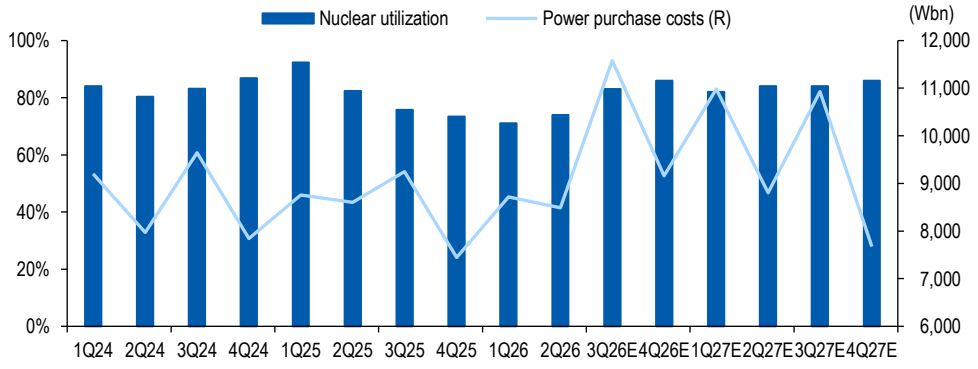
As energy prices and SMP rise again, nuclear utilization is also becoming increasingly important. Increased nuclear power generation reduces reliance on higher-cost LNG generation and external power purchases, partially offsetting higher procurement costs. On the other hand, concentrated planned outages or depressed utilization increase cost pressure, as lost power generation volumes have to be replaced with LNG and power purchases.

We forecast 3Q26 nuclear utilization at 83.0%, 7.3%p higher than in 3Q25 (75.7%). Despite this improvement, profit is likely to decline sharply in 3Q26 due to higher purchased power costs and fuel input costs, although the improvement in nuclear power generation volume should cushion some of cost increases. Annual utilization in 2026 will likely come to 78.5% due to 1H26 maintenance, but should recover to 84.0% in 2027.

Nuclear utilization significantly impacts earnings. Based on our estimate, every 1%p gain in 2027 nuclear utilization boosts annual OP by around W460bn. Although this is just a simple sensitivity analysis assuming that additional nuclear volumes replace externally purchased power, it shows that stable nuclear operations carry greater value when procurement prices are high.

Therefore, the current investment point for nuclear power relates to its ability to provide a buffer against higher procurement costs, rather than in higher power generation volume itself. In an environment where procurement costs are rising, unlike in 2024-2025 when fuel prices fell, nuclear utilization will likely exert an even greater influence on the company's profitability.

Nuclear utilization and power purchase costs



Source: Yuanta Securities

Sensitivity of 2027 OP to key variables

Variable shift	Impact on 2027E OP (Wbn)	Direction	Application
Nuclear utilization +1%p	458	Profit increase	Additional nuclear power output replaces market-purchased power
Selling price +W1/kWh	553	Profit increase	Selling price hike applied on annual sales volume
SMP +W10/kWh	-2,398	Profit decrease	Adjusted settlement coefficient applied to market PPA volumes

Source: Yuanta Securities

2) Nuclear's role expands with power demand growth

In the long term, nuclear energy's role is likely to expand given rising electricity demand and changes in the power generation mix. With power demand projections revised up sharply during the establishment of 12th Basic Plan to reflect growing demand from AI data centers and the semiconductor sector, plans to expand commercial renewable energy capacity up to 220GW by 2040 are under discussion. With coal-fired plants being phased out, securing baseload power sources and energy storage systems to stably satisfy new large-scale demand is becoming crucial.

Domestic nuclear capacity is slated for a phased expansion, starting with reactors under construction, followed by new large-scale reactors and SMRs reflected in the 11th Basic Plan. Currently operating commercial capacity stands at 26.05GW, while there are discussions on whether additional nuclear capacity will be needed to meet the revised-up projections of the 12th Basic Plan.

Since the scale and timing of additional nuclear capacity have yet to be finalized, we did not reflect this in our current earnings forecast.

For KEPCO, power generation mix changes are also important. A higher share of nuclear power reduces reliance on LNG and purchased power, helping to cushion earnings against increases in international oil prices and forex. The importance of securing stable baseload power sources will likely increase as demand from AI data centers and semiconductors, which use power for long periods at a high load factor, expands.

However, new nuclear builds require substantial capex over a long time period. For an expansion of nuclear capacity to lead to an improvement in KEPCO's long-term profitability, increased power generation must be accompanied by a framework that allows the firm to recover construction and financing costs. Therefore, the long-term value of nuclear expansion depends not only on capacity expansions but the mechanism for recovering investment costs.

Domestic nuclear power capacity expansion timeline

Phase	Target	Added capacity (GW)	Schedule/status	Finalization status
Operating	26 existing reactors	26.05	Official commercial capacity baseline	Current status
Under construction	Saeul units 3 & 4	2.80	Under construction & commissioning/ target 2026-2027	Completion timing subject to change
Under construction	Shin Hanul units 3 & 4	2.80	Target completion in 2032/2033	Govt announced target
11th Plan	SMR	0.70	Planned window 2035-2036	Commercialization/approval required
11th Plan	2 new large reactors	2.80	2037/2038 planned	Site/construction procedures required
12th Plan discussion	Additional nuclear units		Addition plan/scale unfinalized	

Source: Yuanta Securities

3) Domestic nuclear additions and overseas orders are upside catalysts

Our 2026-2028 earnings forecasts do not reflect the potential impact of nuclear power additions discussed in the 12th Basic Plan, as significant time is needed before they actually start operating, and Korea Hydro Nuclear Power (KHNP) must incur capex and financing costs during the initial stage. If the scale, schedule, and capex recovery mechanisms for new nuclear power plants become clearer, we can reflect these into long-term earnings and valuations.

We also do not reflect overseas nuclear orders in our target price. Following the 2026 reorganization of the nuclear power export framework, KEPCO and KHNP will jointly lead project development and master contracts for most overseas large-scale nuclear builds. While KHNP will focus on construction and operation, KEPCO will handle external negotiations and equity investments. However, large reactors in the Czech Republic and the Philippines, as well as i-SMR projects will maintain existing structures.

Recently, US nuclear power plants have emerged as a potential source of orders. US-Korea discussions on investment in the US highlighted the potential construction of eight reactors, with expectations for the signing of an MOU on Sep 18. However, the Ministry of Trade, Industry, and Energy (MOTIE) officially stated that no specifics regarding nuclear projects under the US investment initiative had yet been finalized. In the current stage, rather than reflecting the number of reactors, designs, and project expenses in earnings and enterprise value, investors should focus on monitoring KEPCO's project participation structure, investment commitment, and profit structures.

Since the final contract was signed in 2025, Dukovany Units 5 and 6 project in the Czech Republic have been undergoing pre-construction preparations, including licensing and site surveys. Full-scale construction is scheduled to begin after 2029, and currently available public information is insufficient to estimate annual revenue recognition for 2026-2028. Accordingly, we have not separately incorporated percentage-of-completion revenue from the Czech project into our earnings estimates. The contract also includes an option to supply two additional units, Temelín Units 3 and 4, leaving room for additional orders depending on whether the option is exercised.

Once new overseas nuclear projects are confirmed and their investment scale and earnings structures become clearer, we may consider assigning separate business values. For now, we reflect the utilization rates of existing nuclear power plants into our earnings estimates, while leaving room to incorporate additional domestic and overseas nuclear projects as they become more concrete.

3. Grid: growing opportunities accompanied by heavier investment burden

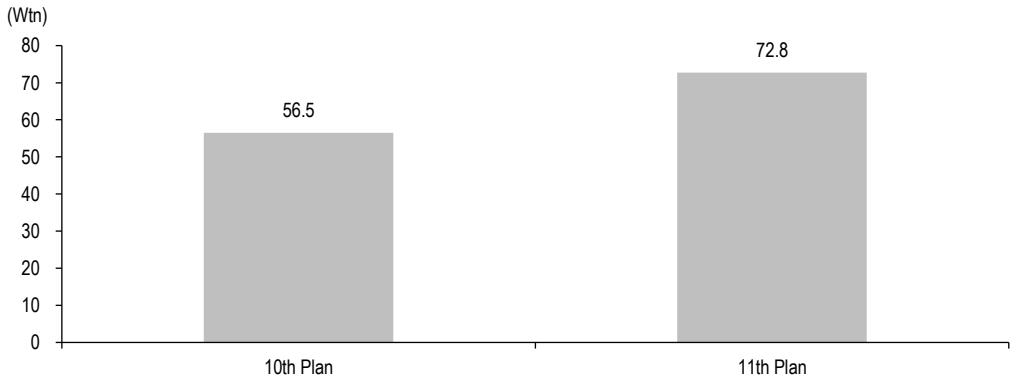
1) Higher electricity demand prolongs transmission and substation investment cycle

The growing demand from AI data centers and semiconductor clusters has raised the long-term trajectory of domestic electricity demand. Large-scale new demand requires investment not only in generation facilities but also in transmission lines and substations connecting power-generating regions with demand centers. In particular, existing demand in the Seoul metropolitan area continues to grow alongside the expansion of semiconductor clusters in Yongin and Pyeongtaek, while power generation and renewable energy facilities remain concentrated outside the metropolitan area. This is increasing the need to expand long-distance transmission networks and HVDC infrastructure.

Investment under the 11th Long-Term Transmission and Substation Facility Plan for 2024-2038 already amounts to W72.8tn, an increase of W16.3tn from W56.5tn under the previous plan. Of this, approximately W50.7tn is earmarked for connecting generation facilities and approximately W22tn for supplying electricity to advanced industries and other users. Importantly, the plan was formulated before incorporating the higher electricity-demand outlook currently being discussed under the 12th Basic Plan for Long-Term Electricity Supply and Demand, as well as 220GW of utility-scale renewable energy. Subsequent transmission and substation facility plans may therefore further raise investment, particularly in new transmission lines, substations, and HVDC infrastructure.

For KEPCO, this change provides greater long-term visibility into asset growth. Grid investment is expected to continue for years, as the company must simultaneously supply electricity to new industrial users, connect renewable energy to the grid, and replace aging facilities. We estimate capex of W19.5tn in 2026, W21.0tn in 2027, and W23.0tn in 2028. Our current forecasts do not separately incorporate additional transmission and substation investment that could follow the finalization of the 12th Basic Plan, leaving room for further upward revisions depending on subsequent investment plans.

Investment under the long-term transmission and substation facility plan



Source: FnGuide Quantiwise, Yuanta Securities

2) Cash burden comes before asset growth

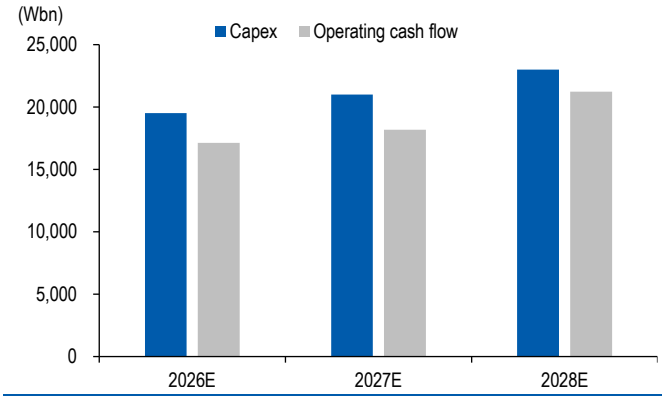
There is a time lag between grid investment and KEPCO's recognition of returns. Transmission lines and substations must be built before data centers and semiconductor fabs begin consuming electricity. KEPCO must fund the investment upfront and can recover the cash only after the costs of operational assets and the return on investment are reflected in electricity tariffs.

This structure is likely to constrain improvements in KEPCO's financial position for the time being. In 1H26, consolidated capex reached W9.6tn, already exceeding operating cash flow of W8.5tn over the same period. We also expect capex to remain above cash generated from operations throughout 2026-2028.

With the heavy investment burden persisting, debt reduction will take time. We estimate that consolidated interest-bearing debt will increase from W133.1tn at end-2025 to W136.7tn in 2026, W144.7tn in 2027, and W152.6tn in 2028. Interest expense recognized in earnings is also expected to rise from W4.3tn in 2025 to W5.2tn in 2028. Even after earnings recover, rising investment will delay improvements in cash flow and net profit.

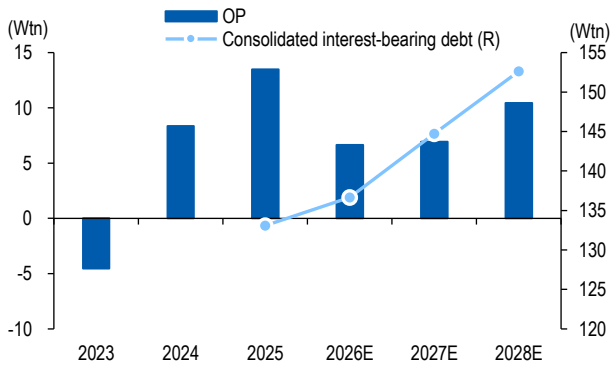
Accordingly, for expanded grid investment to translate into growth for KEPCO, cash recovery must accompany asset growth. If debt growth slows and financing costs decline despite the expanding investment program, this would indicate that the enlarged grid asset base is being converted into long-term earnings for KEPCO.

KEPCO: capex and operating cash flow



Source: Yuanta Securities

KEPCO: OP vs consolidated interest-bearing debt



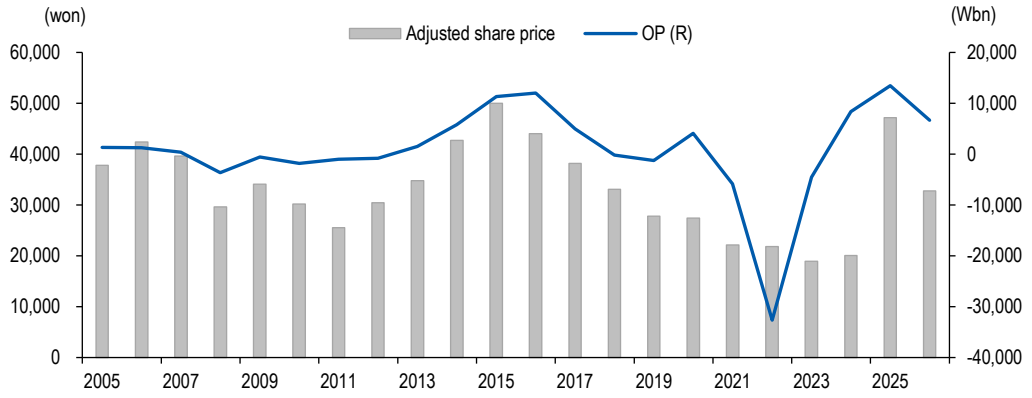
Source: Yuanta Securities

Share price responds more to recovering profitability than investment scale

KEPCO has previously expanded generation and transmission facilities in response to rising electricity demand. However, higher investment did not translate directly into share price gains. In the early 2010s, the firm's profitability and financial position deteriorated as electricity tariffs failed to sufficiently reflect rising energy prices amid continued capex. The share price improved markedly only after tariff adjustments, lower fuel costs, and the normalization of nuclear power plant operations combined to improve earnings and cash generation.

The same criteria should apply to the current cycle. What matters is not simply that AI and semiconductor demand is increasing the scale of grid investment, but whether KEPCO can earn appropriate returns on the additional assets and reduce its debt burden. Visibility into long-term electricity-demand growth is stronger than in the past, but asset growth can lead to higher shareholder value only if investment costs are subsequently recovered.

KEPCO: long-term share price and profitability



Source: FnGuide Quantiwise, Yuanta Securities

3) Moves to share costs and investment burden

With large-scale grid investment planned, how the required funding will be secured is becoming increasingly important. The power grid needed for AI and semiconductor facilities will expand KEPCO's long-term asset base while also serving as the infrastructure that supports national industrial policy. If most investment costs are funded upfront through KEPCO's debt, the financial burden could continue to rise alongside asset growth.

The government's 2027 budget proposal points toward partial burden sharing. It includes a W500bn cash equity injection into KEPCO and W350bn in support for electricity-tariff welfare programs and special-rate schemes. A total of W1.55tn has been allocated to the electricity sector, including W65.8bn for demand-attracting substations and W572.4bn for transmission-connected ESS.

The announced support alone is unlikely to materially transform KEPCO's financial structure. The W500bn equity injection is limited relative to annual capex of around W20tn and interest-bearing debt well above W100tn. Moreover, electricity-sector budget allocations affect KEPCO's cash flow differently depending on the individual project.

Nevertheless, the policy direction is meaningful, as a portion of the costs incurred for public-policy purposes is being transferred to the government budget and fiscal resources are beginning to be deployed for grid construction. Some welfare and special-rate costs previously borne directly by KEPCO are being shifted to the government, while public support is expanding for substations and grid facilities needed to supply electricity to advanced industries. As the budget proposal is scheduled to be finalized at year-end following National Assembly deliberations, the final amounts and implementation methods need to be monitored.

Efforts to diversify funding sources are also expanding beyond the government budget to include large-scale electricity users. KEPCO has proposed receiving a total of W25tn in advance payments for five years of future electricity bills, comprising W20tn from Samsung Electronics and W5tn from SK Hynix. Under this structure, future electricity-tariff revenue would be brought forward and used to finance the grid infrastructure required for semiconductor clusters and other facilities. Participation, interest rates, and the size and duration of advance payments have yet to be finalized, and relevant legislative amendments are also required. We have therefore not incorporated the proposal into our financial estimates.

Rather than increasing earnings, the advance-payment scheme would primarily serve as a funding tool that could partially replace KEPCO bond issuance and ease the initial liquidity burden during a period of large-scale investment. If implemented, the scheme could enhance KEPCO's investment capacity. However, as it would merely bring forward future tariff revenue, it should be distinguished from a structural improvement in profitability.

The key question is whether these changes ultimately extend to the recovery mechanism for large-scale transmission and substation investment. The long-term value of grid expansion will likely be determined by post-investment cash recovery rather than the scale of investment itself. The more predictable the recovery of investment costs becomes, the greater the likelihood that KEPCO can convert its growing grid asset base into long-term earnings.

Changes in sharing of costs and investment burden

Existing: KEPCO bears most of the burden	New: Broader fiscal burden-sharing channels
- Policy-related tariff burden - Grid capex - Borrowing to cover funding shortfalls and financing costs	- Cash equity injection: capital reinforcement - Welfare and special-rate schemes: support for policy-related costs - Substations and ESS: project-specific investment support

Source: Yuanta Securities

4. Target price of W47,000 reflects potential for structural change

We initiate coverage on KEPCO at BUY and a target price of W47,000. Our target price is based on 2027E BPS of W84,816 and a target P/B of 0.55x.

The target P/B of 0.55x reflects the potential for long-term growth of electricity demand, expansion of transmission and substation assets, and greater earnings stability arising from the expanded role of nuclear power. However, with large-scale capex continuing, the recovery of investment costs and improvement in the financial structure have yet to be confirmed. We recognize the company's long-term growth potential but do not fully price in a future improvement in the cost-recovery mechanism.

We expect 2026 OP to decline sharply YoY. Although a modest recovery is expected in 2027, OP is likely to remain below its previous peak. In addition, high capex throughout 2026–2028 should keep the debt and financing-cost burden elevated for the time being. The government's recent cash equity injection, fiscal support for policy-related costs, and discussions on diversifying investment funding are positive developments, but it is too early to conclude that they will materially transform KEPCO's financial structure.

1) Conditions required for further re-rating

For the stock to undergo a further re-rating, there must be evidence that higher electricity demand is leading not only to asset growth but also to improved profitability and cash flow. It will be important to confirm that profitability remains stable through nuclear power plant utilization and tariff adjustments even when energy prices rise, and that debt growth slows as grid investment expands.

In particular, if the tariff mechanism for recovering grid investment costs becomes clearer and net KEPCO bond issuance and interest-bearing debt begin to decline, confidence in the recovery of investment costs could improve. It will also be necessary to monitor whether new funding methods, including government funding, advance tariff payments by large electricity users, and private-sector and policy financing translate into actual programs. If these changes become concrete, we may consider raising our target P/B further.

We have not assigned a separate business value to additional domestic nuclear power plants or new overseas nuclear projects in our current target price. Additional value could be incorporated if the 12th Basic Plan provides concrete details on additional nuclear power plants and cost-recovery mechanisms, or if KEPCO's investment size and earnings structure for overseas projects become clear. Recent discussions of nuclear power construction in the US as a potential project under Korea's investment commitments to the US also represent a mid- to long-term upside factor.

2) Key risks

The biggest risk is that tariff adjustments remain constrained while high procurement costs persist for an extended period. If the SMP and LNG and coal prices remain elevated, purchased power costs and fuel costs could exceed our expectations.

A decline in nuclear power plant utilization would also increase earnings volatility. If scheduled maintenance takes longer than expected or unplanned outages occur, greater reliance on LNG generation and externally purchased electricity could increase the cost burden.

As grid investment expands, the gap between the pace of investment and the pace of cost recovery must be monitored. If transmission and substation investment under the 12th Basic Plan rises faster than we expect, while tariffs, fiscal support, and new funding sources fail to keep pace, the debt and financing-cost burden could exceed our forecasts.

Policy-driven tariff programs, including regional discounts on industrial electricity tariffs, could also weigh on earnings depending on how they are funded. If the resulting decline in revenue from electricity sales is not sufficiently offset by government funding or reductions in wholesale power procurement costs, our investment thesis of improving cost-recovery conditions could weaken.

KEPCO: target price calculation

	Value	Note
2027E BPS (won)	84,816	(a) 2027E BPS
Target P/B (x)	0.55	(b) 10% discount to the upper end of the past 3 years' P/B band
Value per share (won)	46,649	(c)=(a)*(b)
Target price (won)	**47,000**	
Current price (won)	33,750	Sep 9, 2026 close price
Upside (%)	**39**	

Source: Yuanta Securities

KEPCO: valuation table **(Wbn, JPYbn, $mn, EURmn, HKDmn)**

		KEPCO	KOGAS	KEPCO KPS	KEPCO E&C	Tokyo Electric Power Company	Nextear Energy Inc	ENGIE	Hong Kong & China Gas	Tokyo Gas Co Ltd	Indraprast Ha Gas Ltd
Market cap		**21,666**	3,337	2,160	5,469	924	174,868	61,323	136,310	2,095	2,269
Sales	2025	**97,429**	35,727	1,577	519	6,329	27,412	71,944	54,326	2,835	1,831
	2026E	**97,700**	37,782	1,631	577	6,823	31,337	76,474	56,075	3,040	1,979
	2027E	**98,963**	40,455	1,703	737	6,804	34,409	79,247	56,794	3,022	2,083
	2028E	**100,322**	40,007	1,766	914	6,779	37,564	82,660	57,925	3,028	2,271
OP	2025	**13,491**	2,101	146	35	338	8,280	7,669	8,336	198	150
	2026E	**6,650**	2,404	175	65	338	11,147	9,672	8,225	174	162
	2027E	**6,942**	2,201	193	95	238	13,025	10,423	8,383	188	200
	2028E	**10,424**	2,374	206	151	234	14,482	10,941	8,599	196	221
OPM	2025	**13.8%**	5.9%	9.3%	6.8%	5.3%	30.2%	10.7%	15.3%	7.0%	8.2%
	2026E	**6.8%**	6.4%	10.7%	11.2%	4.9%	35.6%	12.6%	14.7%	5.7%	8.2%
	2027E	**7.0%**	5.4%	11.3%	12.9%	3.5%	37.9%	13.2%	14.8%	6.2%	9.6%
	2028E	**10.4%**	5.9%	11.7%	16.5%	3.5%	38.6%	13.2%	14.8%	6.5%	9.7%
Net profit, CI	2025	**8,545**	133	124	85	-454	6,835	3,827	5,688	227	176
	2026E	**3,647**	1,197	149	58	214	8,425	5,154	6,287	127	178
	2027E	**3,880**	950	163	83	271	9,349	5,411	6,433	138	199
	2028E	**5,598**	1,090	174	127	266	10,217	5,687	6,656	142	220
P/E (x)	2025	**3.6**	27.3	17.9	40.3	18.3	21.9	27.6	21.3	11.3	13.2
	2026E	**5.9**	2.8	14.5	94.5	4.3	20.8	11.9	21.7	16.4	12.8
	2027E	**5.6**	3.5	13.3	65.8	3.4	18.7	11.3	21.2	15.1	11.4
	2028E	**3.9**	3.1	12.4	43.1	3.5	17.1	10.8	20.5	14.8	10.3
P/B (x)	2025	**0.6**	0.3	1.7	5.5	0.4	3.0	1.8	2.3	1.4	1.8
	2026E	**0.4**	0.3	1.5	8.6	0.4	2.5	1.5	2.3	1.2	1.8
	2027E	**0.4**	0.2	1.5	8.0	0.3	2.3	1.5	2.3	1.1	1.7
	2028E	**0.3**	0.2	1.4	7.2	0.3	2.1	1.4	2.3	1.1	1.5

Note: CI = controlling interest, market cap is as of Sep 9, 2026
Source: Bloomberg, Quantiwise, Yuanta Securities

KEPCO (015760 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**93,399**	**97,429**	**97,700**	**98,963**	**100,322**
Cost of sales	81,964	80,705	87,831	88,691	86,520
Gross profit	11,435	16,725	9,868	10,272	13,802
SG&A	3,070	3,234	3,218	3,330	3,378
Operating profit	**8,365**	**13,491**	**6,650**	**6,942**	**10,424**
EBITDA	22,362	27,279	20,975	21,886	26,116
Non-operating profit	-3,108	-1,904	-2,469	-2,673	-3,101
Forex gains	-2,495	643	90	105	-7
Net interest income	-4,198	-3,899	-3,955	-4,434	-4,728
Equity-method gains	882	576	550	300	450
Other	2,702	777	846	1,356	1,183
Net prof before income tax	5,257	11,587	4,181	4,268	7,323
Income tax	1,635	2,920	460	427	1,611
Net profit from continuing ops	3,622	8,667	3,721	3,842	5,712
Net profit from discontinued ops	0	0	0	0	0
Net profit	3,622	8,667	3,721	3,842	5,712
NP for controlling interest	**3,492**	**8,545**	**3,647**	**3,880**	**5,598**
Total comprehensive income	4,251	8,521	3,683	3,814	5,684
Total comprehensive income, CI	4,070	8,426	3,642	3,771	5,620

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**29,255**	**30,715**	**31,131**	**35,481**	**40,427**
Cash & cash equivalents	2,383	2,241	5,723	10,125	14,985
Accounts receivables & other	12,128	12,519	8,565	8,732	8,877
Inventory	9,769	10,153	11,208	10,905	10,761
Non-current assets	217,553	224,212	230,890	237,098	244,572
Tangible assets	182,983	187,752	193,088	199,304	206,773
Investment in affiliates	11,286	13,364	13,401	13,574	13,761
Other investment assets	4,946	4,566	4,574	4,612	4,654
Total assets	**246,808**	**254,927**	**262,022**	**272,579**	**285,000**
Current liabilities	63,969	67,107	70,035	73,144	76,432
Accounts payable & other	9,079	8,412	9,286	9,035	8,916
ST financial liabilities	9,123	9,979	11,573	12,238	12,875
Liquid LT liabilities	35,319	35,908	37,175	39,715	42,318
Non-current liabilities	141,476	138,497	139,970	143,797	147,245
LT financial liabilities	3,119	3,275	3,283	3,472	3,653
Debentures	84,973	80,608	81,357	86,027	90,507
Total liabilities	**205,445**	**205,605**	**210,005**	**216,942**	**223,678**
Equity, controlling interest	39,915	48,170	50,789	54,449	60,018
Paid-in capital	3,210	3,210	3,210	3,210	3,210
Capital surplus	2,445	2,410	2,410	2,410	2,410
Retained earnings	20,128	28,501	31,158	34,845	40,443
Equity, non-controlling interest	1,448	1,153	1,227	1,189	1,303
Total equity	**41,363**	**49,323**	**52,017**	**55,638**	**61,322**
Net debt	**130,551**	**126,495**	**129,894**	**137,965**	**145,874**
Total debt	136,518	133,086	136,706	144,777	152,686

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**15,876**	**20,880**	**17,124**	**18,184**	**21,228**
Net profit	3,622	8,667	3,721	3,842	5,712
Depreciation & amortization	13,834	13,630	14,163	14,784	15,531
Forex gains	2,367	-407	-90	-105	7
Affiliate investment gains	0	0	-550	-300	-450
Increase in net working cap	-3,790	-5,383	1,829	-2,165	-2,175
Other	-156	4,373	-1,950	2,128	2,603
Investing cash flow	**-14,093**	**-18,445**	**-19,800**	**-21,635**	**-23,668**
Investment	-137	-2,746	-45	-212	-228
Increase in tangible assets	-14,216	-15,834	-19,500	-21,000	-23,000
Decrease in tangible assets	403	468	0	0	0
Other	-143	-333	-255	-423	-441
Financing cash flow	**-3,849**	**-2,635**	**3,681**	**8,928**	**8,960**
ST financial liabilities	-1,548	791	1,595	672	645
Debenture/LT financial liabilities	174	-4,223	2,025	7,399	7,264
Equity	0	-34	0	0	0
Cash dividend	-137	-219	-990	-193	0
Other cash flow	-2,338	1,050	1,050	1,050	1,050
Consolidation adj and other	106	58	2,478	-1,076	-1,660
Increase in cash & equivalents	**-1,960**	**-142**	**3,483**	**4,401**	**4,860**
Beginning cash & equivalents	4,343	2,383	2,241	5,723	10,125
Ending cash & equivalents	2,383	2,241	5,723	10,125	14,985
NOPLAT	8,365	13,491	**6,650**	**6,942**	**10,424**
FCF	**1,660**	**5,046**	**-2,376**	**-2,816**	**-1,772**

Valuation

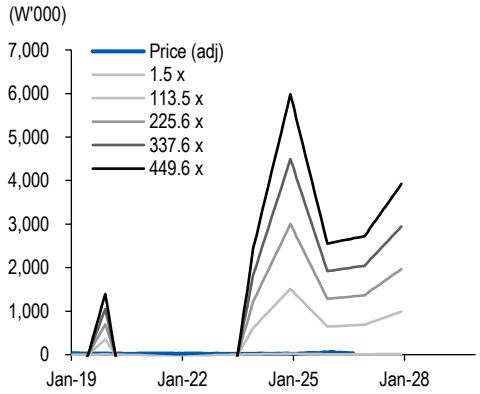
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	5,439	13,311	5,681	6,044	8,720
BPS (won)	62,177	75,035	79,115	84,816	93,492
EBITDA/shr (won)	34,834	42,494	32,673	34,093	40,682
SPS (won)	145,489	151,768	152,189	154,157	156,274
DPS (won)	213	1,542	300	0	400
P/E (x)	**3.9**	**2.5**	**5.9**	**5.6**	**3.9**
P/B (x)	**0.3**	**0.4**	**0.4**	**0.4**	**0.4**
EV/EBITDA (x)	**6.5**	**5.5**	**7.3**	**7.3**	**6.5**
P/S (x)	**0.1**	**0.2**	**0.2**	**0.2**	**0.2**

Key financial data

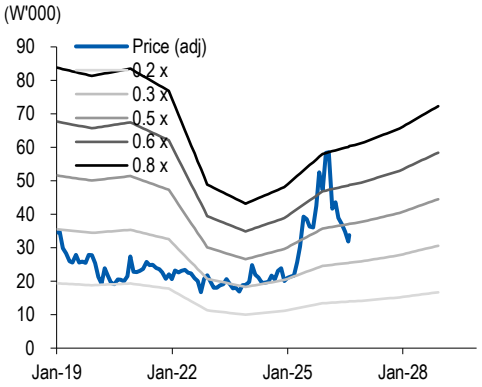
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**5.9**	**4.3**	**0.3**	**1.3**	**1.4**
Operating profit (%YoY)	**TTB**	**61.3**	**-50.7**	**4.4**	**50.2**
Net profit, CI (%YoY)	**TTB**	**144.7**	**-57.3**	**6.4**	**44.3**
Gross margin (%)	12.2	17.2	10.1	10.4	13.8
Operating margin (%)	**9.0**	**13.8**	**6.8**	**7.0**	**10.4**
Net margin, CI (%)	3.7	8.8	3.7	3.9	5.6
EBITDA margin (%)	23.9	28.0	21.5	22.1	26.0
ROIC (%)	3.1	5.3	3.1	3.2	4.0
ROA (%)	1.4	3.4	1.4	1.5	2.0
ROE (%)	**9.2**	**19.4**	**7.4**	**7.4**	**9.8**
Debt-to-equity (%)	496.7	416.9	403.7	389.9	364.8
Net debt-to-equity (%)	327.1	262.6	255.8	253.4	243.0
OP/financing cost (x)	1.8	3.1	1.5	1.4	2.0

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

P/E band chart



P/B band chart



KEPCO (015760 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/11	BUY	47,000	1 yr		
2026/09/10	BUY	47,000	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.7
HOLD	3.3
SELL	0
Total	100.0

Note: As of Sep 10, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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